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AI



More details emerge on how Windsurf's VCs and founders got paid from the Google deal

Windsurf's revelation that Google paid the company \$2.4 billion to license its technology, while simultaneously hiring away its CEO and top talent, the deal's implications are still rattling some founders and startup employees across Silicon Valley.

Google's payment to the startup was effectively split in two equal parts, according to two people familiar with the deal. Investors' portion was \$1.2 billion.

The other half was in the form of compensation packages for approximately 40 Windsurf employees hired by the tech giant with a substantial portion of that \$1.2 billion going to the startup's co-founders, Varun Mohan and Douglas Chen, sources say.

The transaction was a good outcome for VCs, which included Greenoaks, Kleiner Perkins, and General Catalyst. Windsurf raised a total of about \$243 million as of its last raise in 2024 that valued the company at \$1.25 billion, which means the total return to investors was about 4x their original funding.

Greenoaks, which led Windsurf's seed and Series A financings and owned 20% of the company, returned about \$500 million on their \$65 million investment in the startup, according to a person familiar with the matter. Kleiner Perkins, which led



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Windsurf's Series B, returned about 3x its invested capital, according to another person familiar with the deal.

Google, Kleiner Perkins, and Greenoaks declined to comment. General Catalyst, Varun Mohan, and Douglas Chen didn't respond to a request for comment.

Even so, most investors were aiming for a more significant win from the company.

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In February, TechCrunch reported that Kleiner Perkins was in talks to lead a fresh round of funding, valuing the startup, which was then known as Codeium, at [\\$2.85 billion](#). That deal didn't happen, according to a person familiar with the matter, because Windsurf had instead agreed to be purchased by [OpenAI for \\$3 billion](#).

As we all know now, the OpenAI acquisition unraveled and [Google swooped in](#) with its deal

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structured to offer investor returns and obtain talent and IP without acquiring stock.

But what's rattling the Valley is this: While Google's deal was good for the co-founders and VCs, it didn't benefit a large portion of Windsurf's approximately 250 employees, especially after they were expecting a payout from the sale to OpenAI.

In a typical acquisition, employees would get money for the shares they owned and would often have [their vesting schedule accelerated](#). However, Windsurf employees who were hired over the last year didn't receive a payout from the deal, these people said.

The Google deal was especially unsettling to approximately 200 Windsurf employees not hired by the search giant.

Instead of siphoning every penny of Google's payment into their own pockets, investors opted to leave the company with over \$100 million in capital.

One source says this was entirely funded by VCs, meaning their total payout was about \$1.1 billion. However, another person said that the founders equally chipped in to leave the company with a nest egg from the Google payment.

Multiple people said that the money left for the company would have been sufficient to pay all remaining employees proceeds at the Google deal's per-share valuation, regardless of how long they had been with the company. However, to have done that immediately would have been problematic, leaving the company with less cash to operate and — with founders and key people gone — with no investors ready to finance a new raise. The remaining leadership would likely have had to shut down after making such cash distributions, one of the people said. Meanwhile, another person

claimed that the company had enough capital to pay out employees and continue to operate.

That difference of opinion is only part of the reason the deal became so controversial.

What's more, at least some of the employees Google did hire, despite attractive pay and benefits, saw their stock grants revoked and their vesting timelines restarted. That meant they'd have to wait an additional four years for their total payout in Google stock, according to people familiar with the deal.

Some top VCs condemned the 3-year-old startup's co-founders for not sharing their windfall with all the people who helped build the company.

"Windsurf and others are really bad examples of founders leaving their teams behind and not even sharing the proceeds with their team," wrote [Vinod Khosla on X](#). "I definitely would not work with their founders next time."

After several days of limbo following the announcement of the Google deal, Windsurf's remaining entity, under the leadership of interim CEO Jeff Wang, managed to sell itself to Cognition.

Cognition acquired Windsurf's IP and product and brought on all staff not hired by Google.

While the exact deal terms of that sale were not disclosed, the acquisition allowed every employee to financially gain from the sale, according to a [blog published by Cognition](#).

Two other sources estimated to TechCrunch that Cognition paid \$250 million to acquire Windsurf's remaining entity.

Cognition didn't respond to a request for comment.



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Marina Temkin

Reporter, Venture | [X](#)

Marina Temkin is a venture capital and startups reporter at TechCrunch. Prior to joining TechCrunch, she wrote abo...

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STARTUPS

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High costs and thin margins threatening AI coding startups

In February, AI coding startup Windsurf was in talks to raise a big new round at a \$2.35 billion valuation led by Kleiner Perkins, at double the valuation it hit six months earlier, sources told TechCrunch at the time. That deal didn't happen, according to a source familiar with the matter. Instead, news broke in April that the startup planned to sell itself to OpenAI for roughly the same valuation: \$3 billion.

While that deal famously fell apart, one bigger question remains: if the startup was growing that fast and attracting VC interest, why would it sell at all?

IMAGE CREDITS:
YUICHIRO CHINO / GETTY IMAGES

Insiders tell TechCrunch that for all the popularity and hype around AI coding assistants, they can actually be massively money-losing businesses. Vibe coders generally, and Windsurf in particular, can have such expensive structures that their gross margins are “very negative,” one person close to Windsurf told TechCrunch. Meaning it cost more to run the product than the startup could charge for it.

This is due to the high costs of using large language models (LLMs), the person explained. AI coding assistants are particularly pressured to always offer the most recent, most advanced, and most expensive LLMs because model makers are particularly fine-tuning their latest models for improvements in coding and related tasks like debugging.

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This is a challenge compounded by fierce competition in the vibe-coding and code-assist market. Rivals include companies that already have huge customer bases like Anysphere’s Cursor and GitHub Copilot.

The most straightforward path to improving margins in this business involves the startups

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But that idea comes with its own risks. Windsurf’s co-founder and CEO, Varun Mohan, ultimately decided against the company building its own model — an expensive undertaking, the person said.

In addition, model makers are already competing directly. Anthropic offers Claude Code and OpenAI

offers Codex, for instance.

Selling the business was a strategic move to lock in a high return before it could be undermined by the very companies that supplied its AI, including OpenAI and Anthropic, which were also entering the AI coding market.

Multiple people believe that the same pressure on margins Windsurf faced could be impacting Anysphere, the maker of Cursor, as well as vibe coders like Lovable, Replit, and others.

“Margins on all of the ‘code gen’ products are either neutral or negative. They’re absolutely abysmal,” said Nicholas Charriere, founder of Mocha, a vibe-coding startup and back-end hosting solution serving small and medium businesses (SMBs). He added that he believes the variable costs for all the startups in the sector are very close, likely within 10% to 15% of one another.

Unlike Windsurf, Anysphere has been growing so fast that it intends to remain an independent company, having already [turned down acquisition offers](#), including, reports say, from OpenAI.

And Anysphere [announced in January](#) that it is attempting to build its own model, which could give it more control over its expenses. In July, the startup [hired two leaders from Anthropic’s Claude Code](#) team, the Information reported, but two weeks later, these employees [returned](#) to work at Anthropic.

In addition to building a model, Anysphere could expect the cost of LLMs to decrease over time.

“That’s what everyone’s banking on,” said Erik Nordlander, a general partner at Google Ventures. “The inference cost today, that’s the most expensive it’s ever going to be.”

It's not entirely clear how true that is. Rather than falling as expected, the [cost of some of the latest AI models has risen](#), as they use more time and computational resources to handle complicated, multistep tasks.

When that will change remains to be seen. On Thursday, for instance, [OpenAI introduced](#) a new flagship model, GPT-5, with fees that are significantly less than its competitor, Anthropic's Claude Opus 4.1. And Anysphere [immediately offered](#) this model as a choice for Cursor users.

Anysphere has also recently changed its pricing structure to pass along the increased costs of running Anthropic's latest Claude model, particularly to its most active users. The move caught some of [Cursor customers by surprise](#), since they didn't expect additional charges on top of its \$20-per-month Pro plan. Anysphere CEO Michael Truell later apologized for unclear communication about the pricing change in a [blog post](#).

This is the rock and the hard place. Although Cursor is one of the most popular AI applications, having reached [\\$500 million in ARR in June](#), the company's user base may not be so loyal to the product if another company develops a tool that is superior to Cursor, investors say.

Anysphere didn't respond to a request for comment.

Given the competitive landscape and the costs, Windsurf's decision to get out may prove to be understandable. After the OpenAI deal fell through, the founders and key employees left to join Google in a deal that led to a [\\$2.4 billion payout](#) to key shareholders. The remaining business then [sold itself to Cognition](#).

While many, including prominent VCs, criticized Mohan for leaving approximately 200 employees without roles at Google, a source familiar with the deal insisted the acquisition actually maximized the outcomes for all employees.

Beyond Cursor, other AI coding tools are also among the fastest growing startups of the LLM generation, like Replit, Lovable, and Bolt, and all of them rely on model makers as well.

Additionally, if this extremely popular business sector, already generating hundreds of millions in revenue or more a year, has difficulty building on top of model makers, what might it mean for other, more nascent industries?

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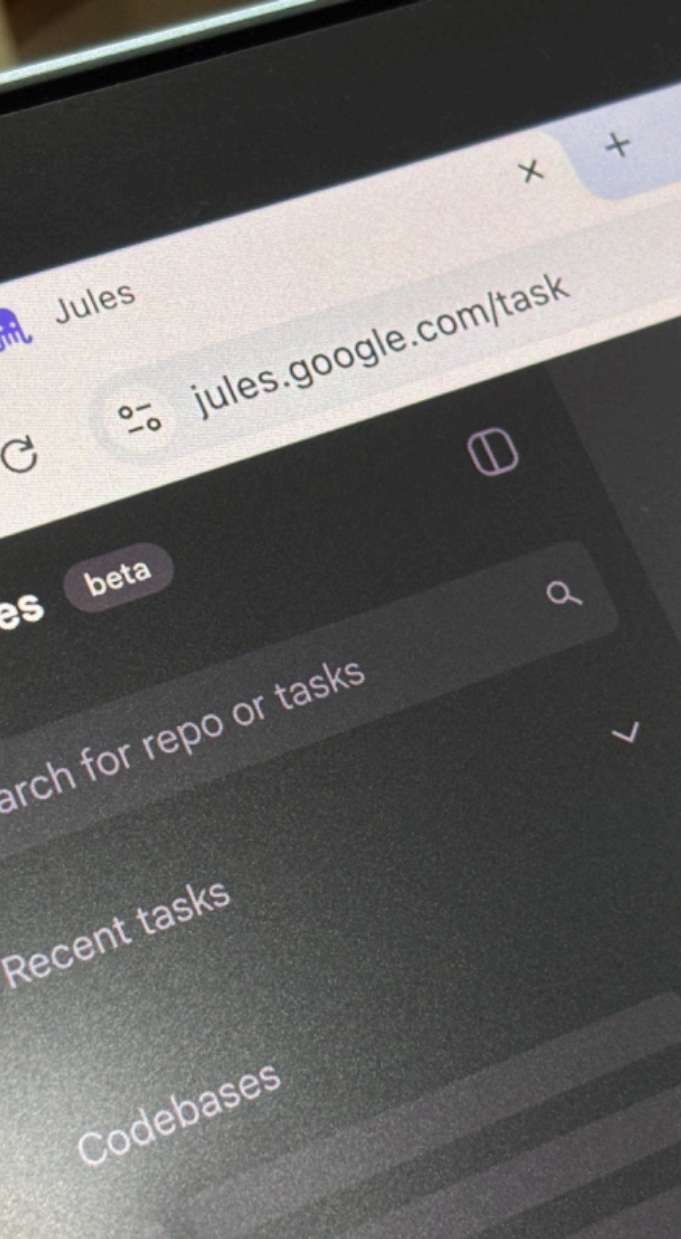


IMAGE CREDITS: JAGMEET SINGH / TECHCRUNCH

AI



Google's AI coding agent Jules is now out of beta

Jagmeet Singh — 9:00 AM PDT · August 6, 2025

Google on Wednesday launched its AI coding agent, Jules, out of beta, just over two months after its [public preview debut in May](#).

Powered by Gemini 2.5 Pro, Jules is an asynchronous, agent-based coding tool that integrates with GitHub, clones codebases into Google Cloud virtual machines, and uses AI to fix or update code while developers focus on other tasks.

Google [initially announced](#) Jules as a Google Labs project in December and made it [available to beta testers](#) through a public preview at its I/O developer conference.

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Rebecca Bellan

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Kathy Korevec, director of product at Google Labs, told TechCrunch that the tool's improved stability drove the decision to take it out of beta after receiving hundreds of UI and quality updates during its beta phase.

"The trajectory of where we're going gives us a lot of confidence that Jules is around and going to be around for the long haul," she said.

With the wider rollout, Google introduced structured pricing tiers for Jules, starting with an "introductory access" free plan capped at 15 individual daily tasks and three concurrent ones, down from the 60-task limit during beta. Jules' paid tiers are part of the Google AI Pro and Ultra plans, which are priced at \$19.99 and \$124.99 a month, and offer subscribers 5x and 20x higher limits, respectively.

Korevec noted that Jules' packaging and pricing are based on "real usage" insights gathered over the past couple of months.

"The 60-task cap helped us study how developers use Jules and gave us the information we needed to design the new packaging," she said. "The 15/day is designed to give people a sense of whether Jules will work for them on real project tasks."

Google also updated Jules' privacy policy to be more explicit about how it trains AI. If a repository is public, its data may be used for training, but if it is private, Korevec said that no data is sent.

"We got a little bit of feedback from users that it [the privacy policy] wasn't as clear as we thought it was, and so most of it is just responding to that. We didn't change anything about what we're doing on the training side, but we changed the language," Korevec said.

STARTUPS



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Marina Temkin - 2 hours ago

AI



OpenAI's GPT-5 is here

Maxwell Zeff - 6 hours ago

During the beta, Google said that thousands of developers tackled tens of thousands of tasks, resulting in over 140,000 code improvements shared publicly. Initial feedback led the Google Labs team to add new capabilities, including reusing previous setups for faster task execution, integrating with GitHub issues, and supporting multimodal input.

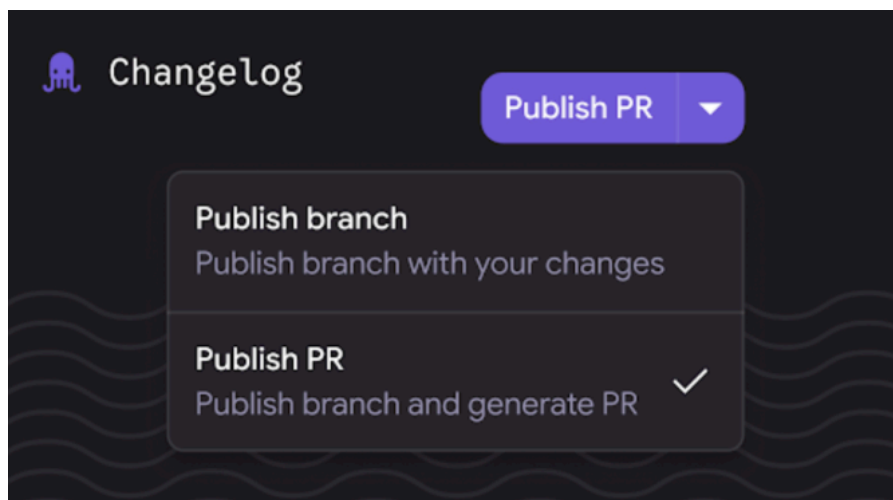


IMAGE CREDITS: JULES / X

The two primary users of Jules so far are the AI enthusiasts and professional developers, Korevec said.

By running asynchronously in a virtual machine, Jules stands apart from top AI coding tools like Cursor, Windsurf, and Lovable, which all work synchronously and require users to watch the output after each prompt.

“Jules operates like an extra set of hands ... you can basically kick off tasks to it, and then you could close your computer and walk away from it if you want and then come back hours later. Jules would have those tasks done for you, versus if you were doing that with a local agent or using a synchronous agent, you would be bound to that session,” Korevec explained.

This week, Jules received a deeper integration with GitHub to [open pull requests automatically](#) — just like it could open branches — and a feature called

[Environment Snapshots](#) to save dependencies and install scripts as a snapshot for faster, more consistent task execution.

From vibe coding to mobile use, beta trials informed Jules' development

Since entering public beta, Jules has logged 2.28 million visits worldwide, 45% of them from mobile devices, per data from market intelligence provider [SimilarWeb](#), reviewed by TechCrunch. India was the top market for traffic, followed by the U.S. and Vietnam.

Google did not share specifics on Jules' user base and its top geographies.

Korevec told TechCrunch that during the beta, the team observed that many people used Jules from traditional vibe-coding tools to either fix bugs that might have been implemented or extend the vibe-coded project to make it more production-ready.

Originally, Jules required users to have an existing codebase. But Google soon realized many potential users — like those trying other AI tools — might want to explore it without one. Korevec said the company quickly enabled Jules to work even with an empty repository. That helped increase its scope and usage.

Google Labs' team also noticed an increasing number of users accessing Jules through their mobile devices. Although the tool does not have a dedicated mobile app, Korevec said users were accessing it through its web app.

“Since it’s a big use case that we’re seeing emerging, we’re absolutely exploring what the

features are that people need on mobile a lot more,” she noted.

Alongside beta testers, Korevec stated that Google already uses Jules to help develop some projects internally, and there is now a “big push” to use the tool on “a lot more projects” at the company.

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